NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH, COURT-V

COMPANY PETITION NO. (CAA)-39/230/232/ND/2023
CONNECTED WITH
COMPANY APPLICATION NO. (CAA)-10(ND)/2023

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION:

OF

LEISURE CORP PRIVATE LIMITED
Having registered office at: Flat No. 101,
First Floor, 4832/24, Ansari Road,
Darya Ganj, New Delhi-110002

...Petitioner/Transferor Company no. 1

AND

EBIX TRAVEL & HOLIDAYS LIMITED,
Having registered office at: Flat No. 101,
First Floor, 4832/24, Ansari Road,
Darya Ganj, New Delhi-110002

...Petitioner /Transferor Company No. 2

AND

EBIX TOURS AND TRAVELS PRIVATE LIMITED
Having registered office at: Flat No. 101,
First Floor, 4832/24, Ansari Road,
Darya Ganj, New Delhi-110002

...Petitioner /Transferor Company No. 3

WITH

EBIX TRAVELS PRIVATE LIMITED,
Having registered office at: Flat No. 101,
First Floor, 4832/24, Ansari Road,
Darya Ganj, New Delhi-110002

...Petitioner/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS

Order Delivered on: 27.05.2024

CORAM

SHRI MAHENDRA KHANDELWAL, HON'BLE (JUDICIAL)

DR. SANJEEV RANJAN, HON'BLE MEMBER (TECHNICAL)

PRESENT

For the Applicant	**:**	Mr. P Nagesh, Sr. Adv., Ms. Vivhuti Tyagi, Mr. Suhas Puthige, Mr. Shoury Aditya, Advs.
For the Respondent	**:**	
For the RD	**:**	Ms. Shankari Mishra, Aakash Sharma, Advs.
For the OL	**:**	Ms. Hemlata Rawat, Rahul Bhatt Advs.
For I.T Department	**:**	Mr. Shlok Chandra, Sr. St. Counsel with Ms. Madhavi Shukla and Ms. Priya Sarkar Jr. St. Counsels

ORDER

PER: DR. SANJEEV RANJAN, MEMBER (TECHNICAL)

1) This joint Petition is preferred by the Petitioner Company No. 1, Petitioner Company No. 2, Petitioner Company No. 3 and Petitioner Company No. 4 (for brevity referred as the Petitioner Companies) under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamations in the nature of amalgamation (hereinafter referred to as the **'Scheme'** for brevity), as contemplated between the Petitioner Companies, its Shareholders and Creditors.

2) Further, the copy of the Scheme has been placed on record. Details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs:-

I. The Applicant Company No. 1/Transferor Company, Leisure Corp Private Limited (CIN- 63040DL2001PTC393891) was incorporated under the provisions of the Companies Act, 1956, as a private limited company vide Certificate of Incorporation dated 10.07.2001 having its registered office at Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi 110002, India. The Authorized Share Capital of the Applicant Company No. 1/Transferor Company is Rs. 1,50,00,000/- divided into 15,00,000 Equity Shares of Rs. 10/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 50,00,000/- divided into 5,00,000 Equity Shares of Rs. 10/- each. The Applicant Company No.1/Transferor Company, vide their meeting of the Board of Directors held on 08.11.2022 have unanimously approved the proposed Scheme of Amalgamation as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record.

II. The Applicant Company No. 2/Transferor Company Ebix Travel & Holidays Limited is a private limited company incorporated under the provisions of Companies Act, 1913, vide Certificate of Incorporation dated 31.03.1948 (CIN-U63040DL1948PLC402251) with Registrar of Companies, NCT of Delhi & Haryana and having its registered office

at Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi 110002, India. The Authorized Share Capital of the Applicant Company No. 2/Transferor Company is Rs. 5,00,00,000/- divided into 50,00,000/- Equity shares of Rs. 10/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 4,25,00,000/- divided into 42,50,000 Equity Shares of Rs.10/- each. The Applicant Company No. 2/Transferor Company, vide their meeting of the Board of Directors held on 09.11.2022 have unanimously approved the proposed Scheme of Amalgamation as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record.

III. The Applicant Company No. 3/Transferor Company Ebix Tours and Travels Private Limited is a private limited company incorporated under the provisions of Companies Act, 1956, vide Certificate of Incorporation dated 13.09.1991 (CIN-U63040DL1991PTC393341) with Registrar of Companies, NCT of Delhi & Haryana and having its registered office at Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi 110002, India. The Authorized Share Capital of the Applicant Company No. 3/Transferor Company is Rs. 3,00,00,000/- divided into 3,00,000 Equity shares of Rs. 100/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 2,90,73,000/- divided into 2,90,730 Equity Shares of Rs.100/- each. The Applicant Company No. 3/Transferor Company,

vide their meeting of the Board of Directors held on 10.11.2022 have unanimously approved the proposed Scheme of Amalgamation as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record.

IV. The Applicant Company No. 4/Transferee Company Ebix Travels Private Limited is a private limited company incorporated under the provisions of Companies Act, 1956, vide Certificate of Incorporation dated 05.02.2007 (CIN-U63040DL2007PTC392725) with Registrar of Companies, NCT of Delhi & Haryana and having its registered office at Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi 110002, India. The Authorized Share Capital of the Applicant Company No. 4/Transferee Company is Rs. 51,00,00,000/- divided into 5,09,60,000 Equity shares of Rs. 10/- each and 40,000 Preference Shares of Rs. 10/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 46,34,86,440/- divided into 4,63,48,644 Equity Shares of Rs.10/- each. The Applicant Company No. 4/Transferee Company, vide their meeting of the Board of Directors held on 01.11.2022 have unanimously approved the proposed Scheme of Amalgamation as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record.

V. The Transferor Company No.1, Transferor Company No.2, Transferor Company No.3 and the Transferee Company joinlty called **'Petitioner**

Companies' hereinafter. The Registered offices of all the Companies being in Delhi, the territorial jurisdiction lies with this Tribunal.

3) The petitioner has further submitted that the "Appointed date" as fixed for the proposed scheme of Amalgamation is 01.04.2022 or such other date(s) as may be approved by this Adjudicating Authority.

4) From the case records, it is seen that the First Motion Application seeking directions for convening/dispensing the meeting of Shareholders, Secured Creditors and Unsecured Creditors was filed before this Tribunal in C.A.(CAA)- 10/ND/2023 under Sections 230-232 of the Companies Act, 2013 and vide order dated 17.04.2023, directions were issued by this Tribunal to dispense with the requirement of the meeting of equity shareholders and secured Creditors and unsecured creditors of the Petitioner Companies.

5) This Tribunal vide order dated 13.06.2023 directed the petitioner company to issue individual notices to the (i) Central Government through Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) the jurisdictional Income Tax Department, (iii) Registrar of Companies, NCT of Delhi and Haryana, (iv) Official Liquidator, and to such other Objector(s), if any.

6) Vide Order dated 13.06.2023 the Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners Companies have filed an Affidavit dated

14.06.2023, affirming compliance and disclosing that the applicants have effected publication in "Financial Express" (English, Delhi Edition) as well as "Jansatta" (Hindi, Delhi edition), both dated on 09.07.2023. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana.

7) Pursuant to the notice, the Regional Director (hereinafter referred to as 'RD') in its report dated 06.09.2023 has made certain observations with regard to the proposed Scheme amongst the Petitioner Companies. In response to the observation made by the RD, the Petitioner Companies have filed reply dated 23.12.2023, wherein the Petitioner Companies gave clarified and undertaken to address the observations made by the 'RD'. The details of the same are summarised below:

Observation	Observation of the Regional Director (RD) vide report dated 06.09.2023	Reply of the Petitioner Companies vide affidavit dated 23.12.2023
1.	The RD submitted that in the clause no.3 of the Scheme that the Scheme shall be effective from the effective date. However, as per section 232(6) the Scheme shall be effective from the appointed date. The same may be clarified from the	Petitioner Companies replied that in relation to the query raised, the definition of "appointed date" and "effective date" have been provided below- "Appointed Date" means the

	company."	date from which the provisions of this Scheme shall become operational i.e. opening of business hours on 1st April, 2022 or such other date as may be assented to and approved by the Board of Directors of the Transferor Companies and Transferee Company and approved by this Tribunal; "Effective Date" shall mean the last of the date on which the certified copy of the formal order(s) of the Tribunal sanctioning this Scheme, as defined hereunder, is filed with the Registrar of Companies, National Capital Territory of Delhi, by the Companies, as required under the provisions of the Act. Any reference in

		this Scheme to the words "upon the Scheme becoming effective" or "date of coming into effect of the Scheme" or "Scheme coming into effect" shall mean the Effective Date. Further submitted that the Scheme set out herein in its present form submitted to the Tribunal or this Scheme with such modification(s), if any, as may be made by the members and/or the creditors of the Company or such modification(s) as may be imposed by any competent authority and/or directed to be made by the Tribunal while sanctioning the Scheme and as accepted by the respective Board of Directors of the Companies shall be operative from the Appointed

		Date but shall be effective from the Effective Date.
2.	RD Submitted that "With respect to Transferor Company no.2, auditor has stated that in his report for the F.Y. 2021-22, that the company has incurred cash losses of Rs. 211.86 million in the current year and Rs. 178.98 million in the previous year"	The Petitioner Companies submitted that these operational losses during F.Y. 2021-22 were incurred during the normal course of business and certain business expenses were incurred as a result of the substantial expansion of the existing business. Further, the business of tours and travel was severely affected by the COVID 19 pandemic which adversely affected the business. It is submitted that all the above factors combined resulted in the cash losses during the specified period.
3.	Further the RD submitted that "With respect to Transferor	Petitioner Companies replies that with respect to F.Y.

	Company no.2, auditor has stated that in his report for the F.Y. 2021-22, that the company has not paid certain statutory dues on account of dispute and cases for the same is pending before their respective authority.	2013-14, the company has filed an income tax appeal against the order passes by the Assessing Officer with the Commissioner of Income Tax (Appeals) and that the disputed demand in this appeal is referred to the audit report. The Petitioner Companies submitted that the said statutory dues for the F.Y. 2021-22 are contingent in nature as the company is in appeal before the statutory body and is sanguine of relief in the said appellate proceeding. Further submitted that the dues indicated in the audit report are not in nature of statutory dues. Further submitted that all the tax proceedings of the

		Petitioner Transferor Company No.2 shall be continued and enforced by or against the Petitioner Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Petitioner Transferor Company No.2 and consequently there will not be any loss to the exchequer.
4.	RD submitted that the Transferee company directed to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 regarding fee payable on its revised Authorized Share Capital.	The petitioner companies submitted that the Petitioner Transferee Company shall comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 and shall pay the applicable fee, if any, post the approval of the Scheme by the Tribunal. Further, the Petitioner

		Transferee company submits that the same is also noted in Clause 17.1 of the Scheme.

8) We have gone through the report submitted by the RD as well as response of the Petitioner Companies with respect to observation in the report. We are of the view that the response of the Petitioner Companies have clarified the observations raised by the RD in its report.

9) Upon the notice, the Income Tax Department has filed its report dated 31.10.2023, wherein no specific objection has been raised against the approval of the Scheme.

10) The Official Liquidator has also filed its report dated 28.07.2023, and through its counsel the Official Liquidator submitted that "they have no objection if the scheme is approved", and the same was recorded vide order dated 01.11.2023.

11) In this petition, in term of section 230(2) of the Companies Act, 2013 it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

12) Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamations is in conformity with the Accounting Standard notified by the Central Government as specified under the

provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

13) It is settled law that the share-holders of the Petitioner Companies are the best judges of their interest, being fully conversant with market trends. Therefore, this tribunal is not supposed to look into merit of their commercial decision. It is well settled that while evaluating the scheme, sanction of which is sought under section 230-232 of the Companies Act, 2013, the Tribunal ordinarily will not interfere with the corporate decision of the Petitioner Companies, as approved by their respective shareholders and creditors.

14) Supreme Court in ***Miheer H. Mafatial vs Mafatial Industries Ltd JT 1996 (8) 205*** while considering the scope of the jurisdiction of the Company Court in respect of matters of sanction of the Scheme of Amalgamation as per the provisions of Section 91 read with Section 393 of the Companies Act, 1956, observed as under:

"It is the commercial wisdom of the parties to the scheme who have taken an informed decision about the usefulness and propriety of the scheme by supporting it by the requisite majority vote that has to be kept in view by the Court. The Court certainly would not act as a court of appeal and sit in judgment over the informed view of the concerned parties to the compromise as the same would be in the realm of corporate and

commercial wisdom of the concerned parties. The Court has neither the expertise nor the jurisdiction to delve deep into the commercial wisdom exercised by the creditors and members of the company who have ratified the Scheme by the requisite majority. Consequently the Company Court's jurisdiction to that extent is peripheral and supervisor and not appellate."

15) In view of the law laid down by the Supreme Court, this Tribunal is not suppose to examine the merits/benefits of the commercial wisdom of the decision of the shareholders etc.

16) It has also been affirmed in the Petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the proposed Scheme.

17) Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions:: -

(i) The Petitioners shall, however, remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

17. This Tribunal further directs with respect to all the Transferor companies and the Transferee company, that:

(i) The proposed Appointed date of the scheme is 01.04.2022. However, considering the time already elapsed and accounts having already been finalised for Subsequent Financial years this Tribunal prescribes the Appointed Date as 01.04.2024. Upon the sanction becoming effective from the appointed date as prescribed by this Tribunal i.e, 01.04.2024, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company

with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

18. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such

certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

19. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Arrangement shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

20. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-	**Sd/-**
(DR. SANJEEV RANJAN)	**(MAHENDRA KHANDELWAL)**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**